

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, NEW DELHI

Company Appeal (AT) No. 346 of 2018

Citation: [2019] 153 SCL 408 (NCLAT)

IN THE MATTER OF:

Union of India v. Infrastructure Leasing & Financial Services Ltd. (IL&FS)

CORAM:

Hon'ble Chairperson: Justice S.J. Mukhopadhaya

Hon'ble Member (Judicial): Bansi Lal Bhat

Date of Decision: 2019-03-12

J U D G M E N T

1. This Appeal has been preferred by the Appellants against the impugned order passed by the National Company Law Tribunal ('NCLT') in proceedings initiated under Section 241 and Section 242 of the Companies Act, 2013, concerning allegations of oppression and mismanagement in the affairs of the Respondent Company.
2. The primary question of law that arises for our consideration is whether the acts complained of by the Appellants satisfy the legal threshold of 'prejudicial to public interest' or 'oppressive' under Section 241(1)(a) of the Companies Act, 2013, and whether the petition satisfies the eligibility criteria under Section 244.
3. Having heard learned Senior Counsel for both parties, and upon an appraisal of the record, we find that the powers conferred upon the Tribunal under Section 242 are wide, but must be exercised to bring an end to the matters complained of. The corporate democracy of the company and compliance with Section 179 and Section 188 must be harmoniously preserved in the overarching interest of the company as a going concern.
4. In view of the statutory principles laid down in 2021 INSC 228 and [2020] 218 Comp Cas 212, the directions issued by the Tribunal are modified to ensure strict adherence to corporate governance standards.
5. The Appeal is accordingly disposed of with no order as to costs.